

Moving to the East

Mutual synergy between the businesses in India and Japan is fuelling several new initiatives. A detailed report.

Many centuries ago, India and Japan began their bilateral trade relations with Buddhism acting as a link. Even today, they enjoy very cordial and political, economic and most importantly trade relations. Japanese investors feel that availability of skilled manpower is a major advantage enjoyed by India that helps in attracting foreign investments into the country. In the present era, Japan is the third largest FDI contributor and fifth major trading partner of India. According to Ruth Shiraishi, Director of Business Development, Space Design Inc., Tokyo, "India has become the most favoured investment destination for long-term Japanese investments." Nearly 70 per cent of Japanese manufacturers regard India as the most attractive country for doing business. With India's stable growth rate despite the global meltdown and rising foreign exchange reserves, the number of Japanese firms operating in India has almost doubled in recent years. At present, there are over 300 Japanese companies which have operations in India. Significantly, India is also the biggest recipient of Japan's official development assistance (ODA). Since Japan's first ODA to India in 1958, the country has received monetary aid worth millions so far. Although the investments from Japanese companies were not monumental in the past years but shortly, there will be a quantum jump with the completion of second phase of the Delhi Metro and the Delhi-Mumbai freight and industrial corridors as Japan is closely involved in funding these infrastructure projects in India.

Building Bonds

India and Japan realise that their strategic global relations are imperative for the progress and prosperity of this side of the world. The shared vision of the two countries is aptly illustrated by the fact that there has been an increase in the number of joint declarations, frequent visits of the delegates of both countries and many business events happening at both sides. For instance – India and Japan have made progress in concluding a mutually beneficial Comprehensive Economic Partnership Agreement (CEPA) to cement their strategic partnership mainly in the field of trade. Both countries are also a part of the G-4 grouping along with Germany and Brazil.

Feathers in the cap

The success story of Japanese automobile company Maruti-Suzuki in India serves as a perfect example of the enormous potential that Japanese investment has in India. Additionally, Canon, Japan's Digital imaging technology giant, has rolled out its global flagship brand stores and Honda, the Japanese auto major has hugely expanded its dealership network across India and thus provided the necessary counterbalance.

Indian companies too have spread their wings in the Japanese market. The Japanese market is fast emerging as the third largest market for software services after the US and Europe. Many big leaders of the IT industry like Infosys, Wipro, Satyam, Hughes, Polaris and NIIT and 265 other Indian companies have set up offices and subsidiaries, or at the very least, have inked marketing alliances in Japan. These companies are already earning revenues from the Japanese market. Infosys undertakes consulting, package selection and implementation, new development, technology re-engineering and maintenance projects for its Japanese clients. Indian pharmaceutical companies are also getting attracted towards the Japanese market which ensures better price offerings and market sustainability, a key for exports to thrive in that country.

Enterprising Approach

In this quickly changing, shrinking business world, versatility is the success mantra. India's strong position during the global financial crisis suggests that Japanese enterprises too should use the opportunity and boost their presence in sectors like finance, retail and applied research industries. The two countries differ in culture and the language problem is especially acute. However, realising these differences and finding a complimentary balance could be the ingredient that turns an India-Japan cooperative relationship into a bonded partnership impervious to blows from macroeconomic forces. "Three things that must be recognised and appreciated about Japanese firms – they place great value on the process of obtaining the goal, they sincerely ensure everyone is on board in the process, and they adopt a peaceful approach to decision making," says Ruth. "Confrontation should be avoided at all cost in Japan. However, in the new and dynamic environment, constructive confrontation is a must." With the Japanese, it is essential to cultivate a definite level of trust before business can actually flow in. Along with understanding the fundamental excellence of Japanese management, knowing where Indian management can contribute will certainly mean significantly increased success for India-Japan partnerships.

Going Green

Realising the importance of preservation of environment, India and Japan have agreed to work for the hopeful project – greenhouse gas reduction target. Both hands have identified the constant changes in climate as globally challenging. They hope that other countries will also participate in the United Nations Framework Convention on climate change and make the world a better, greener and healthier place.

The race to nail the Sun has begun!

